

Rating
Hold

North America
United States

Consumer
Consumer Staples

Company
The Coca-Cola
Company

Reuters
KO.N

Bloomberg
KO US

Exchange
NYS

Ticker
KO

Date
23 October 2024

Results

Price at 22 Oct 2024 (USD)	69.45
Price target	69.00
52-week range	73.01 - 54.08

Quick Take - KO's 3Q24 results

How do we expect the market to react?

Overall, KO reported a strong/solid quarter on the income statement relative to DBe/consensus (3Q24 EPS of \$0.77 vs. DBe/Street: \$0.75; organic sales +9.0% vs. DBe: +6.5%/Street: +6.3%). However, we expect most focus this morning will be on 3Q Unit Case Sales momentum that finished at -1% relative to DBe (and we believe buyside consensus) at ~flat (and down from +1 earlier in the quarter).

Ultimately, we expect this to be a key topic on today's 8:30am conference call, with investors trying to discern how much of the relative UCS softness was confined to 3Q (with future improvement expected) vs. how much should be extrapolated into 4Q and FY25— noting that full-year organic growth guidance is now forecast to be +10.0% vs. prior +9% to +10% (DBe/Street +9.9%), with all-in adjusted EPS guidance unchanged at +5% to +6% or \$2.82 to \$2.85 (DBe/Street \$2.85).

We would also highlight that (i) KO is guiding FX to hurt FY25 EPS by -MSDs (revenue by LSDs), likely putting incremental pressure on forward consensus EPS, and that (ii) KO has paid its \$6.0 billion obligation to the IRS related to ongoing tax litigation (signaling the welcome beginning of the company's official appeals process).

How do reported results compare with expectations?

KO reported 3Q24 EPS of \$0.77 vs. DBe/Street: \$0.75. Organic sales grew +9.0% (DBe: +6.5%/Street: +6.3%), reflecting -2.0% concentrate sales volume (DBe: -1.5%) and +10.0% price/mix (DBe: +7.9%); unit case shipments were -1.0% (DBe: +0.3%). Gross margin of 61.2% (DBe: 62.0%/Street: 61.5%) was up ~+65 bps YOY. Overall operating income of \$3.671 billion was +4.0% ahead of DBe and +3.4% above the Street. Consolidated operating margins were 30.7% (DBe: 30.5%/Street: 30.6%).

By region, the organic revenue in North America was +12.0% (DBe: +3.0%/Street: +3.6%); EMEA was +2.0% (DBe: +10.0%/Street: +9.7%); Asia Pacific was +3.0% (DBe: +3.5%/Street: +1.7%); Latin America was +24.0% (DBe: +16.0%/Street: +13.1%); Global Ventures was -2.0% (DBe: +3.0%/Street: +2.3%); and Bottling was +4.0% (DBe: +6.5%/Street: +4.7%). Segment operating margins were North America at 28.6% (DBe: 28.4%/Street: 27.7%); EMEA at 48.7% (DBe: 54.6%/Street: 51.8%); Asia Pacific at 36.3% (DBe: 37.0%/Street: 37.8%); Latin America at 62.9%

Valuation & Risks

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(DBe: 60.1%/Street: 56.8%); Global Ventures at 10.2% (DBe: 10.5%/Street: 10.2%); and Bottling at 3.1% (DBe: 7.1%/Street: 6.4%).

How has the company's outlook changed?

KO provided FY24 guidance as described below:

- Organic growth of +10% (vs. +9% to +10% prior; DBe/Street: +9.9%), a -5% currency headwind (vs. -5% to -6% prior, and DBe: -4.6%) based on the current rates which includes the impact of hedged positions, and a -5% to -4% M&A headwind (unchanged; DBe: -5.0%). This implies comparable revenue of \$45.784-\$46.242 billion (\$44.868-\$46.242 billion prior) vs. DBe: \$45.927 billion/Street: \$45.970 billion.
- Comparable EPS growth of +5% to +6% (unchanged), which implies \$2.82-\$2.85 vs. DBe/Street: \$2.85. EPS guidance includes a -9% (-9% to -8% prior) FX headwind and -2% to -1% M&A headwind.
- Effective tax rate of 18.8% (19.0% prior). This does not include the impact of ongoing tax litigation with the U.S. Internal Revenue Service, if the company were not to prevail.
- FCF of \$9.2 billion (unchanged; DBe: \$9.247 billion/Street: \$9.326 billion) with cash flow from operations of \$11.4 billion (unchanged; DBe: \$11.431 billion/Street: \$10.658 billion) and capex of ~\$2.2 billion (unchanged; DBe: \$2.185 billion/Street: \$2.181 billion). Guidance (and DBe) for cash from operations and FCF does not include any potential payments related to the ongoing tax litigation.

Implied 4Q24 guidance is as follows:

- Comparable EPS of \$0.49-\$0.52 vs. DBe: \$0.55/Street: \$0.54.
- Comparable revenue of \$10.291-\$10.749 billion vs. DBe: \$10.794 billion/Street: \$10.736 billion.
- Organic growth of +4.6% vs. DBe/Street: +7.1%.

KO also provided the following considerations for FY25:

- Net revenues are expected to include -LSD% currency headwind based on the current rates and including the impact of hedged positions vs. DBe: -0.2%.
- EPS is expected to include -MSD% currency headwind based on the current rates and including the impact of hedged positions.
- Elevated interest expense resulting from the debt issued to pay the IRS tax litigation deposit and the upcoming fairlife contingent consideration payment.



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Figure 1: KO 3Q24 Highlights

INCOME STATEMENT							
	3Q24	3Q23	chg.	DB Est.	Delta	Street	Delta
Organic growth	9.0%	11.0%	-200 bps	6.5%	254 bps	6.3%	270 bps
Comparable Revenue	\$11,949	\$11,911	0.3%	\$11,588	3.1%	\$11,607	2.9%
Cost of Goods Sold	4,642	4,707	(1.4%)	4,406	5.4%	4,464	4.0%
Gross Profit	7,307	7,204	1.4%	7,183	1.7%	7,143	2.3%
SG&A	3,636	3,668	(0.9%)	3,652	(0.4%)	3,591	1.3%
Operating Income	3,671	3,536	3.8%	3,530	4.0%	3,552	3.4%
Net Interest Expense	168	127	32.3%	123	36.2%	131	28.6%
Equity (income) loss	(537)	(565)	(5.0%)	(578)	(7.0%)	(558)	(3.7%)
Other (income) loss	(64)	50	(228.0%)	5	(1380.0%)	8	(868.3%)
Pretax Income	4,104	3,924	4.6%	3,980	3.1%	3,971	3.4%
Taxes	755	723	4.4%	756	(0.2%)	756	(0.2%)
Noncontrolling Interest	2	(4)	(150.0%)	(4)	(147.6%)	4	(53.5%)
Net Income (Comparable)	3,347	3,205	4.4%	3,228	3.7%	3,210	4.3%
Diluted EPS - Comparable	\$0.77	\$0.74	4.8%	\$0.75	3.7%	\$0.75	3.9%
Diluted Shares Outstanding	4,323	4,339	(0.4%)	4,321	0.0%		
MARGIN ANALYSIS							
	3Q24	3Q23	chg.	DB Est.	Delta	Street	Delta
Gross Margin	61.2%	60.5%	67 bps	62.0%	-83 bps	61.5%	-39 bps
SG&A Ratio	30.4%	30.8%	-37 bps	31.5%	-109 bps	30.9%	-51 bps
Operating Margin	30.7%	29.7%	104 bps	30.5%	26 bps	30.6%	12 bps
Pretax Margin	34.3%	32.9%	140 bps	34.3%	0 bps	34.2%	14 bps
Tax Rate	18.4%	18.4%	-3 bps	19.0%	-60 bps	19.0%	-65 bps
Net Margin	28.0%	26.9%	110 bps	27.9%	16 bps	27.7%	35 bps
COMPARABLE REVENUE BY SEGMENT							
	3Q24	3Q23	chg.	DB Est.	Delta	Street	Delta
EMEA	2,032	2,158	(5.8%)	2,158	(5.8%)	2,139	(5.0%)
Latin America	1,668	1,553	7.4%	1,584	5.3%	1,625	2.6%
North America	4,988	4,460	11.8%	4,594	8.6%	4,621	7.9%
Asia Pacific	1,398	1,402	(0.3%)	1,437	(2.7%)	1,381	1.2%
Global Ventures	781	779	0.3%	798	(2.2%)	804	(2.8%)
Bottling	1,316	1,859	(29.2%)	1,186	11.0%	1,354	(2.8%)
Corporate	18	40	(55.0%)	33	(45.2%)	38	(53.2%)
Eliminations	(252)	(340)	(25.9%)	(202)	25.0%	(355)	(29.1%)
Total Comparable Revenue	11,949	11,911	0.3%	11,588	3.1%	11,607	2.9%
OPERATING PROFIT BY SEGMENT							
	3Q24	3Q23	chg.	DB Est.	Delta	Street	Delta
EMEA	990	1,118	(11.4%)	1,177	(15.9%)	1,109	(10.7%)
Latin America	1,049	964	8.8%	952	10.2%	923	13.6%
North America	1,429	1,235	15.7%	1,307	9.4%	1,282	11.5%
Asia Pacific	508	491	3.5%	532	(4.5%)	522	(2.6%)
Global Ventures	80	78	2.6%	84	(4.7%)	82	(2.7%)
Bottling	41	123	(66.7%)	84	(51.4%)	86	(52.4%)
Corporate / Eliminations	(426)	(473)	(9.9%)	(605)	(29.6%)	(452)	(5.8%)
Total Operating Profit	3,671	3,536	3.8%	3,530	4.0%	3,552	3.4%
SEGMENT OPERATING MARGIN							
	3Q24	3Q23	chg.	DB Est.	Delta	Street	Delta
EMEA	48.7%	51.8%	(309 bps)	54.6%	(584 bps)	51.8%	(313 bps)
Latin America	62.9%	62.1%	82 bps	60.1%	282 bps	56.8%	609 bps
North America	28.6%	27.7%	96 bps	28.4%	21 bps	27.7%	91 bps
Asia Pacific	36.3%	35.0%	132 bps	37.0%	(68 bps)	37.8%	(142 bps)
Global Ventures	10.2%	10.0%	23 bps	10.5%	(27 bps)	10.2%	2 bps
Bottling	3.1%	6.6%	(350 bps)	7.1%	(400 bps)	6.4%	(325 bps)
Total	30.7%	29.7%	104 bps	30.5%	26 bps	30.6%	12 bps

SALES DERIVATION (Actual)

	Volume	Price/Mix	Organic	M&A/Other	FX	Sales
EMEA	(7.0%)	9.0%	2.0%	0.0%	(10.0%)	(5.8%)
Latin America	2.0%	21.0%	24.0%	0.0%	(20.0%)	7.4%
North America	1.0%	11.0%	12.0%	0.0%	0.0%	11.8%
Asia Pacific	(4.0%)	7.0%	3.0%	0.0%	(7.0%)	(0.3%)
Global Ventures	1.0%	(3.0%)	(2.0%)	0.0%	2.0%	0.3%
Bottling	(1.0%)	4.0%	4.0%	(32.0%)	(1.0%)	(29.2%)
Total	(2.0%)	10.0%	9.0%	(4.0%)	(5.0%)	0.3%

Note: Volume from Concentrate Sales. M&A/Other includes acquisitions/divestitures/structural items/accounting changes. Organic growth is not selling-day adjusted.

SALES DERIVATION (DBE)

	Volume	Price/Mix	Organic	M&A/Other	FX	Sales
EMEA	(2.0%)	12.0%	10.0%	0.0%	(10.0%)	0.0%
Latin America	(1.0%)	17.0%	16.0%	0.0%	(14.0%)	2.0%
North America	(1.0%)	4.0%	3.0%	0.0%	0.0%	3.0%
Asia Pacific	(2.0%)	5.5%	3.5%	0.0%	(1.0%)	2.5%
Global Ventures	2.0%	1.0%	3.0%	0.0%	(0.5%)	2.5%
Bottling	3.0%	3.5%	6.5%	(40.7%)	(2.0%)	(36.2%)
Total	(1.5%)	7.9%	6.5%	(5.2%)	(4.0%)	(2.7%)

Source : Bloomberg Finance LP, Company filings, Deutsche Bank estimates and analysis



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
The Coca-Cola Company	KO.N	69.45 (USD) 22 Oct 2024	1, 2, 7, 14, 15, 24, 26

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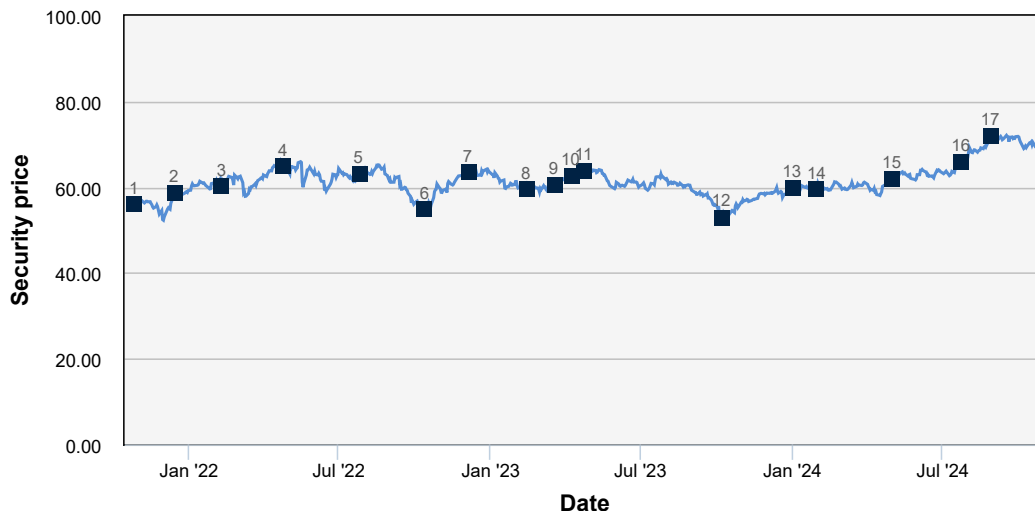
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Historical recommendations and target price: The Coca-Cola Company (KO.N)

(as of 10/22/2024)



Current Recommendations

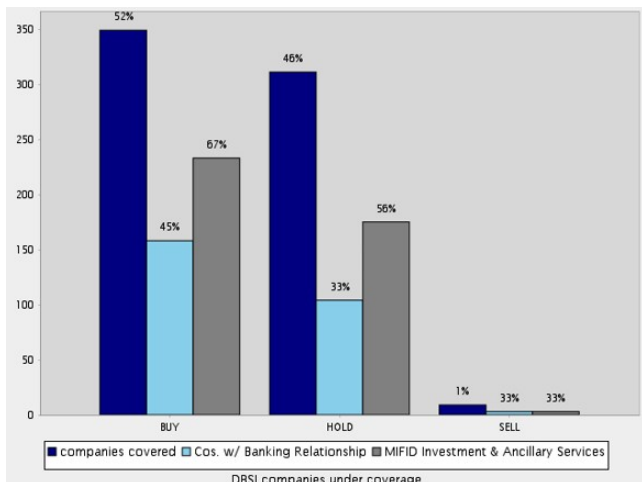
Buy
 Hold
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Equity rating dispersion and banking relationships



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Macroeconomic fluctuations often account for most of the risks associated with exposures to instruments that promise to pay fixed or variable interest rates. For an investor who is long fixed-rate instruments (thus receiving these cash flows), increases in interest rates naturally lift the discount factors applied to the expected cash flows and thus cause a loss. The longer the maturity of a certain cash flow and the higher the move in the discount factor, the higher will be the loss. Upside surprises in inflation, fiscal funding needs, and FX depreciation rates are among the most common adverse macroeconomic shocks to receivers. But counterparty exposure, issuer creditworthiness, client segmentation, regulation (including changes in assets holding limits for different types of investors), changes in tax policies, currency convertibility (which may constrain currency conversion, repatriation of profits and/or liquidation of positions), and settlement issues related to local clearing houses are also important risk factors. The sensitivity of fixed-income instruments to macroeconomic shocks may be mitigated by indexing the contracted cash flows to inflation, to FX depreciation, or to specified interest rates - these are common in emerging markets. The index fixings may - by construction - lag or mis-measure the actual move in the underlying variables they are intended to track. The choice of the proper fixing (or metric) is particularly important in swaps markets, where floating coupon rates (i.e., coupons indexed to a typically short-dated interest rate reference index) are exchanged for fixed coupons. Funding in a currency that differs from the currency in which coupons are denominated carries FX risk. Options on swaps (swaptions) the risks typical to options in addition to the risks related to rates movements.

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